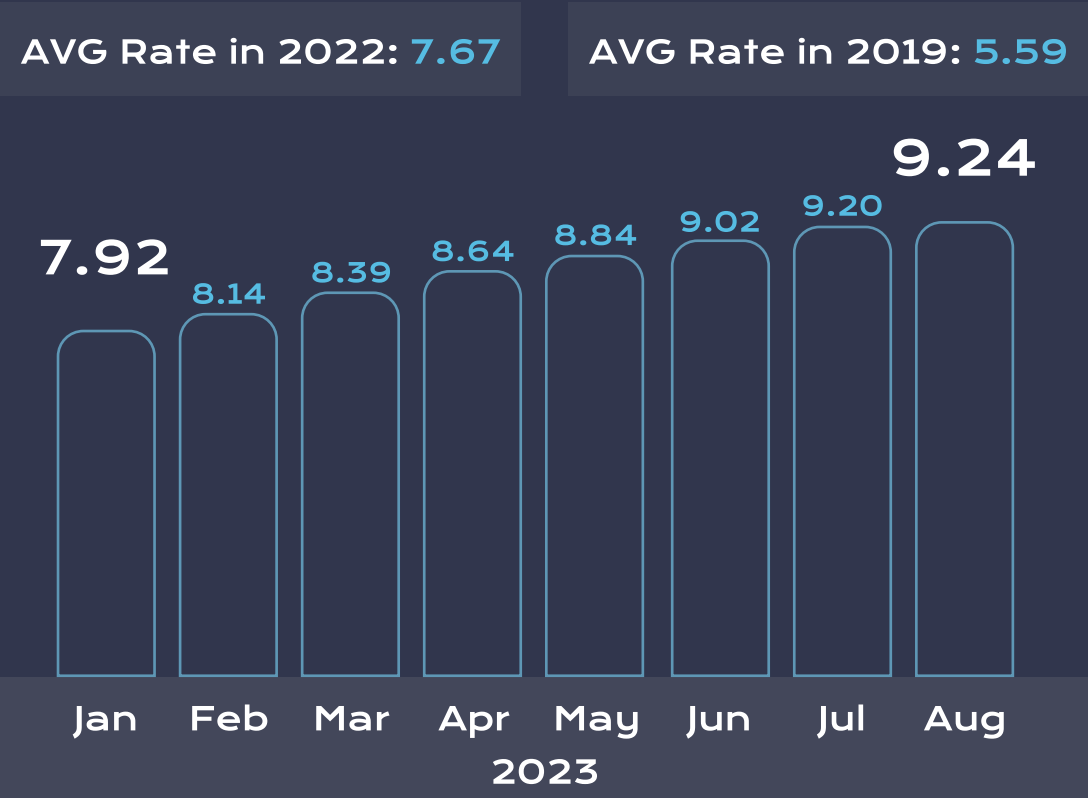


WHAT'S HAPPENING TO THE ECONOMY OF BANGLADESH RIGHT NOW!!

Inflation Rate:



1 Dollar = 110.64 Taka

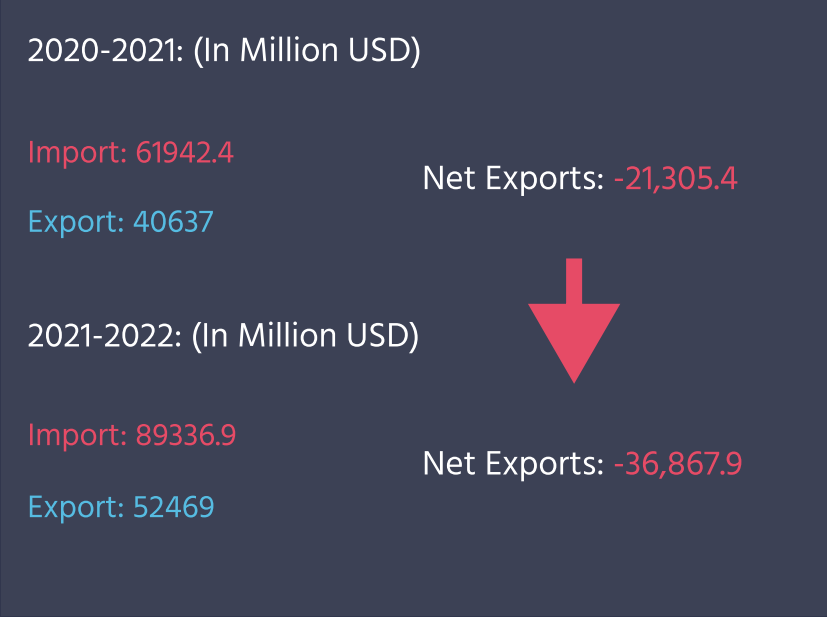
Dollar Rate 27/09/23

- Exactly one year back!! In September 2022, the dollar rate rose to 100 tk for the first time

The inflation rate in Bangladesh has been experiencing an uptick due to various factors. The imbalance between import and export has played a pivotal role, where the cost of imports surging affects the overall price level in the country. Due to the factors mentioned in this report, the foreign exchange rates are getting record High!!

- Remittance flow remains a critical aspect of the economy, with fluctuations in it having a direct impact on consumer spending and consequently, inflation.
- The levels of Foreign Direct Investment (FDI) inflow significantly influence economic stability and growth, impacting the inflation rate.
- The management of external debt is crucial, as it determines the country's fiscal health and affects inflation through government spending and borrowing dynamics.

Total Import Payments and Export Receipts of Goods and Services

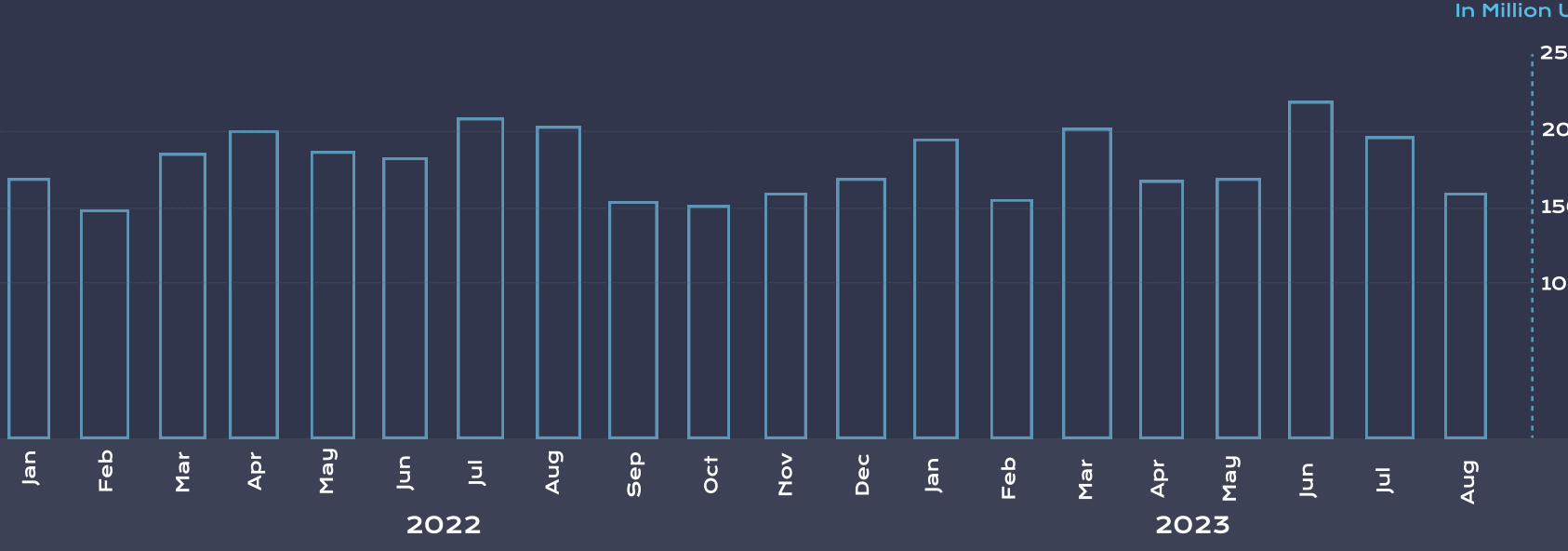


The trade deficit continues to widen annually;

- Due to domestic production levels not aligning with consumption needs, there has been a consistent pattern of higher imports compared to exports each year.
- An additional factor being the perception of the domestic buyer. The belief that foreign goods carry a higher quality than that of it's equivalent domestic good.



Remittance Inflow: (Jan 2022 - Aug 2023)



The persistent deficit in net exports is a growing concern, notwithstanding the stable flow of remittances. Although remittances typically act as a stabilizer, in this scenario, they are insufficient to curb the rising inflation rate and escalating foreign exchange rate, primarily due to increased import reliance and the subsequent pressure on domestic prices. Addressing this challenge necessitates a comprehensive approach to mitigate both the escalating net export deficit and the accompanying economic pressures.

Foreign Direct Investment (FDI)

A decline in Foreign Direct Investment (FDI) in Bangladesh is contributing to a consequential rise in the foreign exchange rate and inflation. FDI is pivotal as it brings in foreign currency, stimulates economic growth, and fosters job creation. A reduction in FDI implies less foreign capital entering the country, which can affect the forex reserves, leading to a depreciation of the local currency. This depreciation makes imports more expensive, which subsequently contributes to inflation, especially in a country like Bangladesh, which relies significantly on imports for various goods and services. Furthermore, a decrease in FDI could signify diminish investor confidence, potentially impacting economic stability and growth. Addressing the decline in FDI and its repercussions on the economy necessitates strategic initiatives to boost investor confidence and mitigate inflationary pressures.



New Monetary Policy: Forward FOREX Contract

A Forward Forex Contract is a financial derivative that represents an agreement between two parties to buy or sell a specified amount of a currency at a predetermined exchange rate on a future date. This type of contract is used as a hedge against the risk of fluctuations in foreign exchange rates.

The Bangladesh Bank has issued a circular clarifying that banks are not permitted to engage in forward sale of foreign exchange for periods exceeding three months. This clarification follows some ambiguity stemming from a previous circular on September 24, where it was implied that forward exchange rate contracts could extend to a year. The central bank has introduced a new system, the six-month moving average rate of the treasury bill (SMART), for fixing the lending rate, which stood at 7.14% in September. Under this regulation, customers utilizing three months' contracts will pay Tk 113.85 per US dollar in the future, as opposed to a potential rate of Tk 123.91 under a 12 months' contract. This move comes amid a forex crisis, with variations in rates charged by banks for forward purchase of dollars causing volatility in the market. The central bank's intervention aims to standardize rates and alleviate market instability.

